

Unusual entrepreneurs

ACCELERATORS

Conventional brick and mortar businesses sometimes require unorthodox minds. No one embodies this spirit better than Gautam Adani who dropped out of a Gujarati-medium school and began as an ordinary diamond polisher, only to build a Rs 23,000-crore industrial empire that straddles areas as diverse as coal mining and power generation. Or Ashok Patni, who built a modern Rs 200-crore empire with an initial investment of Rs 1 lakh in the unorganised marble trade. Or indeed Punjab's textile king, Rajinder Gupta, whose current turnover is Rs 2,100 crore, and who took a risk by establishing businesses when the state was in the grip of terrorism. They are the lesser known heroes of India's amazing growth narrative.

GROWTH CURVE

Among today's corporate high-fliers with their fancy Ivy League degrees and Savile Row suits, he is something of a misfit. He can boast no formal management education, is a mere matriculate from a Gujarati-medium school and is still to master spoken English. Yet, Gautam Adani's phenomenal rise to corporate stardom could easily be a case study in Harvard Business School. His rags-to-riches story is testimony to what can be achieved by sheer grit, ambition, hard work, vision, risk-taking and, of course, the legendary Gujarati aptitude for commerce. In 1980, he was an ordinary worker in a Mumbai diamond processing unit earning a salary of Rs 1,000 a month. Today, Adani, 45, straddles a vast empire which boasts an annual turnover of Rs 23,000 crore. This year, he was even named the 10th richest man in India by *Forbes*.

The nerve centre of his empire is his sprawling Mundra Port in Kutch, a privately-owned multi-purpose SEZ which is part of a Rs 44,000-crore investment in a diverse range of projects in the coming three years. That includes a 1,400-km transmission line to supply electricity to Haryana from his thermal power plant under construction near Mundra. When completed, it will be the longest private transmission line in the country. Adani himself presides over an empire that is involved in a diverse range of business activities ranging from import-export to ports, logistics to power generation, and real estate, oil and gas exploration to operating coal mines abroad. It's a long way from his early days of struggle when he quit his diamond polishing job to travelling around Ahmedabad on a scooter, selling plastic pipes. Shortly after getting involved in the plastics business, the market faced a sudden shortage of PVC raw material needed to

manufacture plastic pipes. His brother, as a small-scale manufacturer, was among the worst-hit. Adani, knowing the market, sensed that there was a profit to be made in importing PVC. The only way to do it was to take a massive loan and brave the accompanying risk. Having no money of his own, he approached the Gujarat Export Corporation for a bank credit facility and in return gave a guarantee of doing business of Rs 2 crore per annum. In the first year alone he did a business of over Rs 10 crore. It was enough incentive to start his own import-export company but he faced his first serious crisis in 1992 when a deal with American giant, Cargill, for joint manufacture of salt in Kutch fell through, leaving him stranded with huge real estate investments in Mundra. Setting up a private jetty to export salt was a part of the deal. Adani converted this adversity into opportunity. He convinced the government to allow him to set up a port instead of a mere jetty. Mundra became one of only two private ports in the country and ranks as one of the best in India today.

In Gujarat, where business success is revered over all else, he is already a legend, with some even comparing him to the late Dhirubhai Ambani. Says Devendra Amin, an executive who left the Ambanis to join Adani some years ago: "Having no formal management education allows him to think tangentially and out of the box and achieve stupendous results." He is also one of those rare entrepreneurs who thinks big even in his group's philanthropic efforts. He has earmarked a massive Rs 500 crore for investment in education and health in the next three years in the form of a one-of-a-kind school for deprived children. Says Adani, "I believe in integrating my individual business vision with the national vision so that in the end I am a contrib-

GAUTAM
ADANI



UMESH GOSWAMI